

Najran Cement Company
(A Saudi Joint Stock Company)

CONSOLIDATED FINANCIAL STATEMENTS
AND INDEPENDENT AUDITOR'S REPORT

For The Year Ended 31 December 2023

Najran Cement Company
(A Saudi Joint Stock Company)

CONSOLIDATED FINANCIAL STATEMENTS AND INDEPENDENT AUDITOR'S REPORT
For The Year Ended 31 December 2023

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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Najran Cement Company (A Saudi Joint Stock Company)

Qualified Opinion

We have audited the consolidated financial statements of Najran Cement Company - a Saudi joint stock company (the "Company") and its subsidiary (collectively with the Company, the "Group"), which comprise the consolidated statement of financial position as at 31 December 2023, and the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including material accounting policy information.

In our opinion, except for the possible effects of the matters described in the Basis for Qualified Opinion section of our report, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2023, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are endorsed by the Saudi Organization for Chartered and Professional Accountants.

Basis for Qualified Opinion

- 1- As of 31 December 2023, the consolidated financial statements includes 'property, plant and equipment' amounting to SR 2,030 million (2022: SR 1,963 million) and depreciation expense of property, plant, and equipment' amounting to SR 80.7 million (2022: SR 74.9 million) for the year then ended. The Group depreciates 'property, plant and equipment' using the declining balance method. It is however our assessment that the depreciation method has been applied incorrectly and the carrying value of 'property, plant and equipment', accumulated depreciation, retained earnings and the depreciation charge for the years presented are consequently incorrect. We have requested from management, but have not been provided, an impact of the revised application of the depreciation calculated on the declining balance method. Consequently, we are unable to determine whether any adjustments are required to the consolidated financial statements as at and for the year ended 31 December 2023.
- 2- As mentioned in Note 10, the inventories balance as of 31 December 2023, includes consumable spare parts with a gross carrying value of SR 118 million. However, there are long-aged (slow moving) items included therein which form part of these consumable spare parts. We were unable to obtain sufficient audit evidence to conclude whether management's assessment of the provision for slow moving items is reasonable and were unable to determine whether any adjustments to the consolidated financial statements as at and for the year ended 31 December 2023 were necessary.

We conducted our audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) that is endorsed in the Kingdom of Saudi Arabia that is relevant to our audit of the consolidated financial statements, and we have fulfilled our other ethical responsibilities in accordance with that Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Najran Cement Company (A Saudi Joint Stock Company) (Continued)

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. In addition to the matters described in the Basis of Qualified Opinion section, we have determined the matters described below to be key audit matters to be communicated in our report. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming auditor's opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Key audit matter	How the matter was addressed in our audit
Existence of inventories As of 31 December 2023, inventories amounted to SR 408 million (2022: SR 323 million) mainly comprise of products under progress, finished goods and raw materials, representing 16.29% of total assets of the Group (2022: 13.44%). Since the weighing of these inventories is not practicable, management assesses the quantities on hand at the year-end by obtaining measurements of the stockpiles and converting these measurements to unit of volumes; in doing so management appoints an independent surveyor to estimate the quantities by using certain scientific systematic measurements calculations, which are applied for similar stock in the cement industry. We have considered the existence of inventories as a key audit matter due to the significance of the closing balance and involvement of estimation in the determination of the closing quantities of products under progress and raw materials as at year end. The accounting policies for inventories is outlined in note 3.7 to the consolidated financial statements and breakdown of inventories is presented in Note 10.	Our audit procedures performed, among other audit procedures, were the following : ➤ Attended the physical inventory count performed by the Group and the independent surveyor. ➤ Evaluated competence, capabilities, and objectivity of the independent surveyor engaged by the Group. ➤ Obtained and reviewed the inventory count report of the independent surveyor for the major stock items and recalculated the conversion to the volumes. ➤ Assessed the completeness and adequacy of the relevant disclosures related to inventories in the consolidated financial statements.

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Najran Cement Company (A Saudi Joint Stock Company) (Continued)

Key Audit Matters (Continued)

Key audit matter	How the matter was addressed in our audit
Revenue recognition	
Revenue for the year ended 31 December 2023 amounted to SR 485.7 million (2022: SR 535.7 million). Revenue is recognized in accordance with International Financial Reporting Standard 15 - Revenue from Contracts with Customer ("IFRS 15") which requires the recognition when the customer obtains controls of the goods. Revenue is one of the key indicators for measuring performance and consequently, there are inherent risks associated to its recognition and, hence its impact on profitability. Therefore, revenue recognition process has been considered as a key audit matter. The accounting policies for revenue recognition is outlined in note 3.13 to the consolidated financial statements and breakdown of revenue is presented in Note 20.	Our audit procedures performed, among other audit procedures, were the following: ➤ Assessed the Group's revenue recognition accounting policies for compliance with the requirements of IFRS 15. ➤ Evaluated the design and implementation of relevant controls over the revenue cycle. ➤ Selected sample of sales transactions recorded during the year and inspected the supporting documents, to ensure they were recorded at correct amount and at a point in time when the customer obtains control of the goods. ➤ Inspected sample of sales transactions that are timely recorded before and after the year-end to assess whether revenue was recorded in the correct accounting period. ➤ Performed variance analysis by comparing current year's revenue with the historical trend, and discussed material variances with management, if any. ➤ Assessed the adequacy of the relevant disclosures in accordance with the requirements of IFRS 15 included in the consolidated financial statements.

Other Matter

The consolidated financial statements of the Group for the year ended 31 December 2022 were audited by another auditor who expressed unmodified opinion on those consolidated financial statements on 20 Shaban 1444H (corresponding to 12 March 2023G).

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Najran Cement Company (A Saudi Joint Stock Company) (Continued)

Other information included in The Group's 2023 Annual Report

Other information consists of the information included in the Group's 2023 annual report, other than the consolidated financial statements and our auditor's report thereon. We obtained the Group's 2023 draft annual report, prior to the date of our auditor's report, and we expect to obtain the Group's 2023 final annual report after the date of our auditor's report. Management is responsible for the other information in its annual report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information obtained prior to the date of the auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. As described in the Basis for qualified opinion section above, we were unable to obtain sufficient appropriate audit evidence about the carrying amount of the Group's plant, property and equipment and inventories as at 31 December 2023 and related depreciation expense and provision for slow moving items for the year. Accordingly, we are unable to conclude whether or not the other information is materially misstated with respect to these matters.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

The management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with International Financial Reporting Standards that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are endorsed by the Saudi Organization for Chartered and Professional Accountants and the provisions of Companies' Law and Company's By-laws, and for such internal control as the management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, the management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Najran Cement Company (A Saudi Joint Stock Company) (Continued)

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of the management use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Najran Cement Company (A Saudi Joint Stock Company) (Continued)

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements (Continued)

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

For Ernst & Young Professional Services



Abdulaziz S. Alarifi
Certified Public Accountant
License No. (572)



Jeddah: 4 Dhu Al-Qi'dah 1445H
12 May 2024G

Najran Cement Company
(A Saudi Joint Stock Company)

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

As At 31 December 2023

	Note	31 December 2023 SR '000	31 December 2022 SR '000 Restated (Note 32)	1 January 2022 SR '000 Restated (Note 32)
ASSETS				
Non-current assets				
Property, plant and equipment	7	2,030,154	1,963,288	1,986,373
TOTAL NON-CURRENT ASSETS		2,030,154	1,963,288	1,986,373
Current assets				
Inventories	10	408,197	323,429	231,434
Trade receivables	11	21,076	28,673	28,221
Prepayments and other receivables	12	30,287	50,886	42,727
Cash and cash equivalents	13	16,015	39,314	82,090
TOTAL CURRENT ASSETS		475,575	442,302	384,472
TOTAL ASSETS		2,505,729	2,405,590	2,370,845
EQUITY AND LIABILITIES				
Equity				
Share capital	16	1,700,000	1,700,000	1,700,000
Statutory reserve		163,620	156,677	145,396
Retained earnings		138,155	119,128	103,866
TOTAL EQUITY		2,001,775	1,975,805	1,949,262
Non-current liabilities				
Employees' defined benefit obligations	14	45,267	40,215	36,849
Non-current portion of lease liability	15	2,103	2,357	2,407
Rehabilitation provision	9	1,047	1,047	1,047
Long term borrowing	17	274,057	235,654	227,500
TOTAL NON-CURRENT LIABILITIES		322,474	279,273	267,803
Current liabilities				
Provision for zakat	18	8,030	7,904	6,134
Current portion of lease liability	15	255	255	450
Current portion of long-term borrowing	17	64,422	44,443	51,515
Contract liability - advances from customers		6,490	5,091	5,158
Trade payables		44,835	45,790	44,744
Accrued and other payables	19	55,994	45,706	44,661
Dividends payable	29	1,454	1,323	1,118
TOTAL CURRENT LIABILITIES		181,480	150,512	153,780
TOTAL LIABILITIES		503,954	429,785	421,583
TOTAL EQUITY AND LIABILITIES		2,505,729	2,405,590	2,370,845

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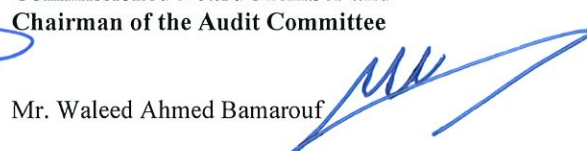
Rami Jawad Abu Jneid

Board of Directors member and
CEO



Mr. Abdulsalam Abdullah Aldraibi

Commissioned Board Member and
Chairman of the Audit Committee



Mr. Waleed Ahmed Bamarouf

The accompanying notes from (1) to (34) form an integral part of these consolidated financial statements.

Najran Cement Company
(A Saudi Joint Stock Company)

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the year ended 31 December 2023

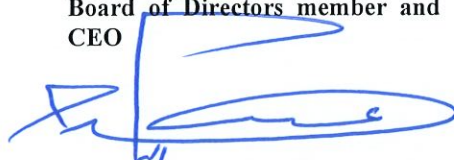
	Note	2023 SR '000	2022 SR '000 Restated (Note 32)
Revenue	20	485,651	535,686
Cost of revenue	21	(343,220)	(364,919)
Gross profit		142,431	170,767
Selling and distribution expense	22	(9,264)	(7,732)
General and administrative expense	23	(35,436)	(35,599)
Operating profit		97,731	127,436
Finance costs	24	(24,920)	(11,359)
Other income, net	25	2,775	3,352
Profit before zakat		75,586	119,429
Zakat	18	(6,152)	(6,620)
Net profit for the year		69,434	112,809
Earnings per share			
Earnings per share attributable to the shareholders of the Company:			
Basic and diluted (SR)	26	0.41	0.66
Weighted average number of shares outstanding:			
Basic and diluted ('000 shares)		170,000	170,000

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Rami Jawad Abu Jneid

Board of Directors member and
CEO



Mr. Abdulsalam Abdullah Aldraibi

Commissioned Board Member and
Chairman of the Audit Committee



Mr. Waleed Ahmed Bamarouf

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Najran Cement Company
(A Saudi Joint Stock Company)

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31 December 2023

	Note	2023 SR '000	2022 SR '000 Restated Note 32
Net profit for the year		69,434	112,809
Other comprehensive income ("OCI")			
Items not to be reclassified to consolidated statement of profit or loss in subsequent periods:			
Re-measurement of employees' end of service benefits	14.1	(964)	(1,266)
Other comprehensive loss		(964)	(1,266)
Total comprehensive income for the year		68,470	111,543

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Rami Jawad Abu Jneid

Board of Directors member and CEO



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Commissioned Board Member and
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Mr. Waleed Ahmed Bamarouf

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Najran Cement Company
(A Saudi Joint Stock Company)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
For the year ended 31 December 2023

	Note	Share capital SR '000	Statutory reserve SR '000	Retained earnings SR '000	Total SR '000
As at 1 January 2022- as previously reported		1,700,000	145,396	120,427	1,965,823
Prior years restatement	32			(16,561)	(16,561)
As at 1 January 2022 – as restated		1,700,000	145,396	103,866	1,949,262
Net profit for the year – as restated	32	-	-	112,809	112,809
Other comprehensive loss		-	-	(1,266)	(1,266)
Total comprehensive income for the year– as restated		-	-	111,543	111,543
Transferred to statutory reserve		-	11,281	(11,281)	-
Dividends (note 29)	29	-	-	(85,000)	(85,000)
Balance as at 31 December 2022 – as restated	32	1,700,000	156,677	119,128	1,975,805
As at 1 January 2023 – as restated		1,700,000	156,677	119,128	1,975,805
Net profit for the year		-	-	69,434	69,434
Other comprehensive loss		-	-	(964)	(964)
Total comprehensive income for the year		-	-	68,470	68,470
Transferred to statutory reserve		-	6,943	(6,943)	-
Dividends (note 29)	29	-	-	(42,500)	(42,500)
Balance as at 31 December 2023		1,700,000	163,620	138,155	2,001,775

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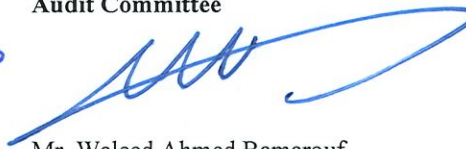
Rami Jawad Abu Jneid

Board of Directors member and CEO



Mr. Abdulsalam Abdullah Aldraibi

Commissioned Board Member and Chairman of the
Audit Committee



Mr. Waleed Ahmed Bamarouf

The accompanying notes from (1) to (34) form an integral part of these consolidated financial statements.

Najran Cement Company
(A Saudi Joint Stock Company)

CONSOLIDATED STATEMENT OF CASH FLOWS

For the year ended 31 December 2023

	Note	2023 SR '000	2022 SR '000 Restated Note 32
OPERATING ACTIVITIES			
Profit before zakat		75,586	119,429
<i>Adjustments for non-cash items:</i>			
Depreciation and amortization	7,8	81,174	74,958
Gain/Loss on disposal of property, plant and equipment		(98)	443
Provision for bad debts	11	-	176
Provision for obsolete inventory	10	-	2,000
Finance cost		24,920	11,359
Employees' defined benefit obligations, current service cost		4,190	4,022
		<u>185,772</u>	<u>212,387</u>
<i>Operating cash flow before working capital changes</i>			
<i>Changes in working capital:</i>			
Inventories		(84,768)	(91,988)
Trade receivables		7,597	(628)
Prepayments and other receivables		20,599	(8,159)
Contract liability – advances from customers		1,399	(67)
Trade payables		(955)	1,046
Accrued and other payables		10,288	1,045
		<u>139,932</u>	<u>113,636</u>
Cash generated from operating activities			
Zakat paid	18	(6,026)	(4,850)
Finance costs paid		(21,819)	(9,334)
Employees' benefits paid	14	(1,975)	(2,864)
		<u>110,112</u>	<u>96,588</u>
<i>Net cash from operating activities</i>			
INVESTING ACTIVITIES			
Additions to property, plant and equipment	7	(148,412)	(54,305)
Additions to intangible asset		(491)	(19)
Proceed from sale of property, plant and equipment		961	-
		<u>(147,942)</u>	<u>(54,324)</u>
<i>Net cash used in investing activities</i>			
FINANCING ACTIVITIES			
Proceed from long term borrowing	17	115,000	278,500
Repayment of long-term borrowing	17	(57,846)	(278,500)
Payment of lease liability		(254)	(245)
Dividend paid		(42,369)	(84,795)
		<u>14,531</u>	<u>(85,040)</u>
<i>Net cash from / used in financing activities</i>			
Net change in cash and cash equivalents		(23,299)	(42,776)
Cash and cash equivalents at the beginning of the year		39,314	82,090
Cash and cash equivalents at the end of the year	13	<u>16,015</u>	<u>39,314</u>

CFO



Rami Jawad Abu Jneid

Board of Directors member and
CEO



Mr. Abdulsalam Abdullah Aldraibi

Commissioned Board Member and
Chairman of the Audit Committee



Mr. Waleed Ahmed Bamarouf

The accompanying notes from (1) to (34) form an integral part of these consolidated financial statements.

Najran Cement Company (A Saudi Joint Stock Company)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS For The Year Ended 31 December 2023

1 CORPORATE INFORMATION

Najran Cement Company (“the Company” or “the Parent Company”), a Saudi Joint Stock Company, registered at Najran on 5 Ramadan 1426 (corresponding to 9 October 2005) under Commercial Registration number 5950010479. On 10 Shaaban 1437 (corresponding to 17 May 2016), the Company was granted an Industrial License, number 2446. The Company’s shares are listed in the Capital Market Authority (CMA) in the Kingdom of Saudi Arabia.

The principal activities of the Company are manufacturing of ordinary portland cement and cement resistant to salts.

These consolidated financial statements comprise the Company and its wholly owned subsidiary, Wasl Al Janub Land Transportation Company (together referred to as the “Group”).

The Subsidiary Company is registered as a limited liability Company at Najran was established on 23 Dhul- Hijjah 1441 (corresponding to 8 August 2020) under Commercial Registration number 5950119264. On 02 Shaaban 1442 (corresponding to 15 March 2022), the subsidiary company was granted transportation License, number 11/00007925.

The principal activity of the Subsidiary Company is transport of goods.

2 BASIS OF PREPARATION

2.1 STATEMENT OF COMPLIANCE

These consolidated financial statements have been prepared in accordance with International Financial Reporting Standards that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are endorsed by the Saudi Organization for Chartered and Professional Accountants (“SOCPA”) (collectively referred to as “IFRSs as endorsed in KSA”).

The Group’s management has made an assessment of its ability to continue in as a going concern based on the current liquidity position and cash flow projections and do not have any material uncertainty that might raise doubt and management is satisfied that the Group has the necessary resources to continue and fulfill its obligations when they fall due in the ordinary course of business in the foreseeable future. Accordingly, these consolidated financial statements of the Group have been prepared on the going concern basis.

The new Companies’ Law was issued through Royal Decree M/132 on 1/12/1443H (corresponding to 30 June 2022) (hereinafter referred as “the Law”) came into force on 26/6/1444H (corresponding to 19 January 2023). For certain provisions of the Law, full compliance is expected not later than two years from 26/6/1444H (corresponding to 19 January 2023). The management is in process of assessing the impact of the New Companies Law and will amend its By-Laws for any changes to align the By-Laws to the provisions of the Companies’ Law. Consequently, the Company shall present the amended By-Laws to the shareholders in their Extraordinary Annual General Assembly meeting for their ratification.

2.2 Basis of measurement

These consolidated financial statements have been prepared on a historical cost basis.

The group has prepared the consolidated financial statements on the basis that it will continue to operate as a going concern.

2.3 Functional and presentation currency

These consolidated financial statements are presented in Saudi Riyals (“SR”) which is also the functional and presentation currency of the Group.

2.4 Basis of consolidation

These consolidated financial statements comprise the financial position and performance of the Parent Company and the following subsidiary (collectively referred to “the Group”) in which the Company exercises control as at 31 December 2023:

Najran Cement Company

(A Saudi Joint Stock Company)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)
For The Year Ended 31 December 2023

2 BASIS OF PREPARATION (continued)

2.4 Basis of consolidation (continued)

<i>Subsidiary name</i>	<i>Country incorporation</i>	<i>of Principal business activity</i>	<i>Effective ownership interest</i>	
			<i>31 December 2023</i>	<i>31 December 2022</i>
Wasl Aljanoub Company Limited	KSA	Transportation of goods	100%	100%

The financial statements of the subsidiary are prepared for the same reporting period as that of the Group, using consistent accounting policies of the Group.

Control is achieved when the Group is exposed, or has rights, to variable returns from its transactions with the investee and has the ability to affect those returns through exercising its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

Power over the investee (i.e., existing rights that give the Group the current ability to direct the relevant activities of the investee).

Exposure, or rights, to variable returns from its transactions with the investee.

The ability to use its power over the investee to affect its returns.

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has control over an investee, including:

The contractual arrangement(s) with the other vote holders of the investee.

Rights arising from other contractual arrangements.

The Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income, and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealized income and expenses arising from intra-group transactions, are eliminated.

Unrealized losses are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

2.5 Significant accounting judgments, estimates and assumptions

The preparation of the Group's consolidated financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to carrying amount of assets or liabilities affected future periods.

Other disclosures relating to the Group's exposure to risks and uncertainties includes:

- Sensitivity analysis disclosures (note 14 & note 30)
- Financial instruments risk management and policies (note 30)
- Capital management (note 30)

Najran Cement Company

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

For The Year Ended 31 December 2023

2 BASIS OF PREPARATION (continued)

2.5 Significant accounting judgments, estimates and assumptions (continued)

Judgements

In the process of applying the Group's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the consolidated financial statements:

Revenue from contracts with customers

The Group applied the following judgements that significantly affect the determination of the amount and timing of revenue from contracts with customers:

Determining method to estimate variable consideration

Certain contracts for the sale of goods include volume rebates and incentives that give rise to variable consideration. In estimating the variable consideration, the Group is required to use either the expected value method or the most likely amount method based on which method better predicts the amount of consideration to which it will be entitled.

The Group determined that the most likely amount method is the appropriate method to use in estimating the variable consideration for the sale of goods with volume rebate and incentives as the selected method better predicts the amount of variable consideration driven by customers' rebate and incentives entitlement based on volume thresholds and purchase made by them during the period.

Before including any amount of variable consideration in the transaction price, the Group considers whether the amount of variable consideration is constrained. The Group determined that the estimates of variable consideration are not constrained based on its historical experience, business forecast and the current economic conditions. In addition, the uncertainty, if any, on the variable consideration will be resolved within a short time frame.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material difference in the carrying amounts of assets and liabilities within the next financial period, are presented below. The Group used these assumptions and estimates on the basis available when the consolidated financial statements were prepared. However, existing circumstances and assumptions about future developments may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur. Information about the assumptions and estimation uncertainties is included in the following areas:

Useful lives of property and equipment / intangible assets

The management determines the estimated useful lives of property and equipment & intangible assets for calculating depreciation/amortization. These estimates is determined after considering expected usage of the assets or physical wear and tear. The management reviews the residual value and useful lives annually and future depreciation/amortization charges are adjusted where management believes the useful lives differ from previous estimates.

Determination of inventory net realizable value

The Group recognizes an allowance for inventory losses due to factors such as obsolescence, physical damage, expiry etc. The estimation of such losses includes the consideration of factors including but not limited to introduction of new products or technology, past trends and both existing and emerging market conditions.

Defined benefit plan

The cost of the defined benefit plan and the present value of the obligation is determined using actuarial valuation. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and employee turnover rate. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

The parameter most subject to change is the discount rate. In determining the appropriate discount rate, management considers the market yield on Government bonds.

Najran Cement Company (A Saudi Joint Stock Company)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued) For The Year Ended 31 December 2023

2 BASIS OF PREPARATION (continued)

2.5 Significant accounting judgments, estimates and assumptions (continued)

Defined benefit plan (continued)

The mortality rate is based on publicly available mortality tables for the country. Those mortality tables tend to change only at intervals in response to demographic changes. Future salary increases are based on expected future inflation rates for the country.

Further details about employee benefits obligations are provided in note 14.

3 SUMMARY OF MATERIAL ACCOUNTING POLICIES

The following are the material accounting policies applied by the Group consistently in preparing its consolidated financial statements except for the new and amended standards and interpretations as disclosed in note 4.

3.1 Current versus non-current classification

The Group presents assets and liabilities in the consolidated statement of financial position based on current/ non-current classification.

Assets

An asset is classified as current when:

- It is expected to be realized or intended to sell or consumed in normal operating cycle; or
- It is held primarily for the purpose of trading; or
- It is expected to be realized within twelve months after the reporting period; or
- It is cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

Liabilities

A liability is current when:

- It is expected to be settled in normal operating cycle; or
- It is held primarily for the purpose of trading; or
- It is due to be settled within twelve months after the reporting period; or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

All other liabilities are classified as non-current.

3.2 Foreign currencies

The Group's consolidated financial statements are presented in Saudi Riyals ("SR"), which is also the parent company's functional currency. For each entity, the Group determines the functional currency and items included in the financial statements of each entity are measured using that functional currency.

Transactions and balances

Transactions in foreign currencies are initially recorded by the Group's entities at their respective functional currency spot rates at the date the transaction first qualifies for recognition.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange ruling at the reporting date.

All differences arising on settlement or translation of monetary items are recognised in the consolidated statement of profit or loss.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

For The Year Ended 31 December 2023

3 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

3.2 Foreign currencies (continued)

Non-monetary items that are measured in terms of historical cost in a foreign currency, if any, are translated using the exchange rate as at the date of the initial transaction. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of a gain or loss on change in fair value of the item.

3.3 Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses. Internally generated intangibles, excluding capitalised development costs, are not capitalised and the related expenditure is reflected in consolidated statement of comprehensive income in the period in which the expenditure is incurred.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the consolidated statement of profit or loss in the expense category that is consistent with the function of the intangible assets.

Intangible assets under development consists of costs incurred in relation to development of software which will be eventually transferred to intangible assets. Intangible assets with indefinite useful lives (goodwill) are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

An intangible asset is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the consolidated statement of profit or loss when the asset is derecognized.

Intangible assets represent computer software and acquisition of pharmacies which have finite useful lives. The estimated rates of amortization of intangible assets are as follows:

Software	10 years
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3.4 Property and equipment

Property, plant and equipment, except land which is not depreciated, are stated at cost less accumulated depreciation and accumulated impairment loss, if any. Expenditure on repairs and maintenance is expensed, while expenditure for improvement is capitalized. Depreciation is provided over the estimated useful life lives of the applicable assets using the reducing balance method and appropriate residual values. Group reviews the appropriateness of the rate of depreciation / amortization, useful life and residual values used for recording the depreciation on annual basis. The estimated annual rates of depreciation of the principal assets are as follows:

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)
For The Year Ended 31 December 2023

3 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

3.4 Property and equipment (continued)

	<i>Percentage</i>
Land	<i>Not depreciated</i>
Right of use	Over the contract period
Buildings	2.5%
Plant, quarry, machinery and other equipment	4%-15%
Vehicles	10%-25%
Furniture and fixtures, and office equipment	10%-12.5%
Assets held for future use (Strategic)	4%
Computers	15%
Capital work in process	<i>Not depreciated</i>

Capital work in progress includes all costs (including advance payments) which have not been reclassified as one of the asset classes noted above. Capital work in progress is re-classified as property, plant and equipment when the relevant performance tests have been satisfactorily completed. No depreciation is provided for in respect of capital work in progress.

3.5 Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a lessee

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.

Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets.

If ownership of the leased asset transfers to the Group at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

The right-of-use assets are also subject to impairment.

3 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

3.5 Leases (continued)

Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate.

Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs).

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset. The unwinding component of finance cost is included in the consolidated statement of profit or loss.

The lease liabilities are presented as a separate line in the consolidated statement of financial position.

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases that are considered to be low value. Lease payments on short-term leases and leases of low value assets are recognised as expense on a straight-line basis over the lease term.

3.6 Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

i) Financial Assets

Initial recognition and measurement

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables, the Group initially measures a financial asset at its fair value and in the case of a financial asset not carried at fair value through profit or loss, fair value plus transaction costs. Trade receivables that do not contain a significant financing component are measured at the transaction price and for other trade receivables, that contain a significant financing component, the Group adjusts the transaction price in respect to the significant financing component.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

For The Year Ended 31 December 2023

3 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

3.6 Financial instruments (continued)

i) Financial Assets (continued)

Initial recognition and measurement (continued)

Financial assets classified and measured at amortised cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in following categories:

- Financial assets at amortized cost (debt instruments)
- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

Financial assets at amortised cost (debt instruments)

Financial assets at amortised cost are subsequently measured using the effective interest rate (EIR) method and are subject to impairment. Gains and losses are recognised in consolidated statement of profit or loss when the asset is derecognised, modified, or impaired.

The Group's financial assets at amortised cost includes cash and cash equivalents, trade receivables, employee loans and margin on letter of credit.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a Group of similar financial assets) is primarily derecognised (i.e., removed from the Group's consolidated statement of financial position) when:

- The rights to receive cash flows from the asset have expired
- Or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the transferred asset to the extent of its continuing involvement. In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

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3 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

3.6 Financial instruments (continued)

ii) Financial liabilities

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs. The Group's financial liabilities include trade payables, due to related parties and lease liabilities.

Subsequent measurement

For purposes of subsequent measurement, financial liabilities are classified in two categories:

- Financial liabilities at fair value through profit or loss
- Financial liabilities at amortised cost (loans and borrowings)

Financial liabilities at amortized cost (loans and borrowings)

This is the category most relevant to the Group. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the consolidated statement of profit or loss.

Derecognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the consolidated statement of profit or loss.

3.7 Inventories

Inventories are stated at the lower of cost and net realizable value. The cost of inventories is principally based on the weighted average principle, and includes expenditure incurred in acquiring the inventories and other costs incurred in bringing them to their existing location and condition.

Net realizable value represents the estimated selling price for inventories less the costs necessary to make the sale. Any impairment loss arising as a result of bringing the inventories at their net realizable value is recognized in the consolidated statement of profit or loss.

3.8 Cash and cash equivalents

Cash and cash equivalents balances comprise of cash at banks, cash on hand and short-term highly liquid deposits with original maturities of three months or less that are held for the purpose of meeting short-term cash commitments and are readily convertible to a known amount of cash and subject to an insignificant risk of changes in value.

3.9 Pension and other post-employment benefits

Short-term employee benefits

Short-term employee benefits are expensed as the related services are provided. A liability is recognized for the amount expected to be paid if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

For The Year Ended 31 December 2023

3 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

3.9 Pension and other post-employment benefits (continued)

Post-employment benefits

The Group's obligation under employee end of service benefit is accounted for as an unfunded defined benefit plan and is calculated by estimating the amount of future benefit that employees have earned in the current and prior periods and discounting that amount. The calculation of defined benefit obligations is performed annually by a qualified actuary using the projected unit credit method. Re-measurement of the net defined benefit liability, which comprise actuarial gains and losses are recognised immediately in OCI. The Group determines the net interest expense on the net defined benefit liability for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the then-net defined benefit liability, taking into account any changes in the net defined benefit liability during the period as a result of benefit payments. Net interest expense and other expenses related to defined benefit plans are recognised in employee costs in the consolidated statement of profit or loss (refer to note 15).

3.10 Zakat

The Group (entities registered in Kingdom of Saudi Arabia only) is subject to the Regulations of the Zakat, Tax and Customs Authority ("ZATCA") in the Kingdom of Saudi Arabia. Zakat is provided for in accordance with the Regulations of the Zakat, Tax and Customs Authority (ZATCA) in the Kingdom of Saudi Arabia and on accruals basis.

The zakat charge is computed on the zakat base of the individual companies in the Group and is charged to consolidated statement of profit or

loss and other comprehensive income. Any shortfall / excess on finalization of an assessment is accounted for in the year in which assessment is finalized.

3.11 Value Added Tax ("VAT")

Revenues, expenses, and assets are recognized net of the amount of Value Added Tax ("VAT") except:

- Where VAT incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case VAT is recognized as part of the cost of acquisition of the asset or as part of the expense item as applicable; and
- Receivables and payables that are stated with the amount of VAT included.

The net amount of VAT recoverable from, or payable to the ZATCA is included as part of receivables or payables in the consolidated statement of financial position.

3.12 Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, for example, under an insurance contract, the reimbursement is recognized as a consolidated asset, but only when the reimbursement is virtually certain. The expense relating to a provision is presented in the statement of profit or loss, net of any reimbursement.

Rehabilitation costs are provided for at the present value of expected costs to settle the obligation using estimated cash flows and are recognised as part of the cost of the relevant asset. The cash flows are discounted at a current pre-tax rate that reflects the risks specific to the decommissioning liability. The unwinding of the discount is expensed as incurred and recognised in the statement of profit or loss as a finance cost. The estimated future costs of Rehabilitation are reviewed annually and adjusted as appropriate.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

For The Year Ended 31 December 2023

3 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

3.13 Revenue from contracts with customers

The Group recognizes revenue from contracts with customers based on a five-step model as set out in IFRS 15- revenue from contracts with customers.

Step 1: Identify the contract(s) with a customer: A contract is defined as an agreement between two or more parties that creates enforceable rights and obligations and sets out the criteria for every contract that must be met.

Step 2: Identify the performance obligations in the contract: A performance obligation is a promise in a contract with a customer to transfer a good or service to the customer.

Step 3: Determine the transaction price: The transaction price is the amount of consideration to which the Group expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Step 4: Allocate the transaction price to the performance obligations in the contract: For a contract that has more than one performance obligation, the Group will allocate the transaction price to each performance obligation in an amount that depicts the amount of consideration to which the Group expects to be entitled in exchange for satisfying each performance obligation.

Step 5: Recognize revenue when (or as) the entity satisfies a performance obligation. The Group satisfies a performance obligation and recognizes revenue over time, if one of the following criteria is met:

- The Group's performance does not create an asset with an alternate use to the Group and the Group has an enforceable right to payment for performance completed to date;
- The Group's performance creates or enhances an asset that the customer controls as the asset is created or enhanced; or
- The customer simultaneously receives and consumes the benefits provided by the Group's performance as the Company performs.

For performance obligations where one of the above conditions are not met, revenue is recognized at the point in time at which the performance obligation is satisfied.

If the consideration promised in a contract includes a variable amount, the Company shall estimate the amount of consideration to which the Company will be entitled in exchange for transferring the promised services to a customer.

An amount of consideration can vary because of discounts, rebates, price concessions, incentives, penalties or other similar items. The promised consideration can also vary if the Company entitlement to the consideration is contingent on the occurrence or non-occurrence of a future event.

Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty. The Company assesses its revenue arrangements against specific criteria to determine if it is acting as principal or an agent.

Revenue is recognized to the extent it is probable that the economic benefits will flow to the Company and the revenue and costs, if applicable, can be measured reliably. The Group sells packed and non-packed clinker and cement, where selling process is either through selling invoices and/or independent specific contracts with customers.

a) Sale of goods

For contracts with customers which the only obligation is going to be selling cement, revenues shall be recognized at the time in which control over asset is transferred to the costumer at a specific point in time, which is usually at the delivery date.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

For The Year Ended 31 December 2023

3 SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

3.13 Revenue from contracts with customers (continued)

a) Sale of goods (continued)

The Group recognizes revenue at the point in time at which the customer obtains control of a promised asset and the entity satisfies the performance obligations. The Group considers the below mentioned indicators to assess the transfer of control of the promised asset:

- The Group has a present right to payment for the asset
- The customer has legal title to the asset
- The Company has transferred physical possession of the asset
- The customer has the significant risks and rewards of ownership of the asset
- The customer has accepted the asset

3.14 Other Income

Other income that are incidental to the Group's business model are recognized as income as they are earned or accrued. This represents profit from sale of scrapped inventory and other miscellaneous income.

3.15 Expenses

Cost of revenue

Cost of revenue represents all expenses directly attributable or incidental to the core operating activities of the Group.

Selling and distribution expenses

These include any costs incurred to carry out or facilitate selling activities of the Group. These costs typically include salaries of the sales staff, marketing, distribution, and logistics expenses.

General and administrative expenses

These are operational expenses which are not directly related to the sale of goods. These also include allocations of general overheads which are not specifically attributed to cost of revenue.

Allocation of overheads between cost of revenue, selling and distribution and general and administrative expenses, where required, is made on a consistent basis.

3.16 Earnings per share (EPS)

Basic EPS is calculated by dividing the profit for the year attributable to ordinary equity holders of the Group by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is calculated by dividing the profit attributable to ordinary equity holders of the Group (after adjusting for interest on the convertible preference shares) by the weighted average number of ordinary shares outstanding during the period plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares into ordinary shares.

3.17 Cash dividend to shareholders of the Group

The Group recognized a liability to pay a dividend when the distribution is recognized and no longer at the discretion of the Group. As per the By-laws of the Company, a distribution is recognized when it is approved by the shareholders. A corresponding amount is recognized directly in shareholders' equity

4 NEW AND AMENDED STANDARDS AND INTERPRETATIONS

The Group applied for the first-time certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2023 (unless otherwise stated). The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

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4 NEW AND AMENDED STANDARDS AND INTERPRETATIONS (continued)

4.1 IFRS 17 Insurance Contracts

IFRS 17 Insurance Contracts is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation, and disclosure. IFRS 17 replaces IFRS 4 Insurance Contracts.

IFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance, and re-insurance), regardless of the type of entities that issue them as well as to certain guarantees and financial instruments with discretionary participation features; a few scope exceptions will apply. The overall objective of IFRS 17 is to provide a comprehensive accounting model for insurance contracts that is more useful and consistent for insurers, covering all relevant accounting aspects.

IFRS 17 is based on a general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

The new standard had no impact on the Group's consolidated financial statements.

4.2 Definition of Accounting Estimates - Amendments to IAS 8

The amendments to IAS 8, in which it introduces a definition of 'accounting estimates. The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, they clarify how entities use measurement techniques and inputs to develop accounting estimates.

The amendments had no impact on the Group.

4.3 Disclosure of Accounting Policies - Amendments to IAS 1 and IFRS Practice Statement 2

The amendments to IAS 1 and IFRS Practice Statement 2 Making Materiality Judgements, in which it provides guidance and examples to help entities apply materiality judgements to accounting policy disclosures. The amendments aim to help entities provide accounting policy disclosures that are more useful by replacing the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose their 'material' accounting policies and adding guidance on how entities apply the concept of materiality in making decisions about accounting policy disclosures.

The amendments have had an impact on the Group's disclosures of accounting policies, but not on the measurement, recognition, or presentation of any items in the Group's financial statements.

4.4 Deferred Tax related to Assets and Liabilities arising from a Single Transaction - Amendments to IAS 12

The amendments to IAS 12, which narrow the scope of the initial recognition exception under IAS 12, so that it no longer applies to transactions that give rise to equal taxable and deductible temporary differences.

The amendment had no impact on the Group's consolidated financial statements.

5 STANDARDS ISSUED BUT NOT YET EFFECTIVE

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Group's financial statements are disclosed below. The Group intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

5.1 Amendments to IFRS 16: Lease Liability in a Sale and Leaseback

In September 2022, the IASB issued amendments to IFRS 16 to specify the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

For The Year Ended 31 December 2023

5 STANDARDS ISSUED BUT NOT YET EFFECTIVE (continued)

5.1 Amendments to IFRS 16: Lease Liability in a Sale and Leaseback (continued)

The amendments are effective for annual reporting periods beginning on or after 1 January 2024 and must be applied retrospectively to sale and leaseback transactions entered into after the date of initial application of IFRS 16. Earlier application is permitted, and that fact must be disclosed.

The amendments are not expected to have an impact on the Group's financial statements as the Group doesn't have sale and leaseback transactions.

5.2 Amendments to IAS 1: Classification of Liabilities as Current or Non-current

In January 2020 and October 2022, the IASB issued amendments to paragraphs 69 to 76 of IAS 1 to specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right.
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification. In addition, a requirement has been introduced to require disclosure when a liability arising from a loan agreement is classified as non-current and the entity's right to defer settlement is contingent on compliance with future covenants within twelve months.

The amendments are not expected to have a material impact on the Group's financial statements.

5.3 Supplier Finance Arrangements - Amendments to IAS 7 and IFRS 7

In May 2023, the IASB issued amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures to clarify the characteristics of supplier finance arrangements and require additional disclosure of such arrangements. The disclosure requirements in the amendments are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

The amendments will be effective for annual reporting periods beginning on or after 1 January 2024. Early adoption is permitted but will need to be disclosed.

The amendments are not expected to have a material impact on the Group's financial statements.

6 SEGMENTAL REPORTING

The Group is engaged in one operating segment, i.e., manufacturing cement and operates entirely from the Kingdom of Saudi Arabia and certain foreign jurisdictions. Accordingly, the financial information was not divided onto different geographic or business segments. Further, significant amount of liabilities of the Group are payable in Saudi Arabia.

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7 PROPERTY, PLANT AND EQUIPMENT

	<i>Land SR'000</i>	<i>Right of use asset SR'000</i>	<i>Buildings SR'000</i>	<i>Plant, quarry, machinery and other equipment SR'000</i>	<i>Vehicles SR'000</i>	<i>Furniture and fixtures, and office equipment SR'000</i>	<i>Assets Held for Future Use (Strategic) SR'000</i>	<i>Computers SR'000</i>	<i>Capital work in progress SR'000</i>	<i>Total SR'000</i>
Cost:										
1 January 2023	2,563	3,809	1,163,391	1,949,116	63,764	14,168	42,033	4,859	221	3,243,924
Additions	-	-	60	40,666	104,302	246	2,348	790	-	148,412
Disposal	-	-	-	(139)	(862)	-	-	(5)	-	(1,006)
Transfer	-	-	-	221	-	-	-	-	(221)	-
31 December 2023	2,563	3,809	1,163,451	1,989,864	167,204	14,414	44,381	5,644	-	3,391,330
Accumulated depreciation:										
1 January 2023	-	1,201	391,821	834,524	26,364	10,294	12,877	3,555	-	1,280,636
Additions	-	231	19,290	49,500	9,722	434	1,247	259	-	80,683
Disposal	-	-	-	(25)	(117)	-	-	(1)	-	(143)
31 December 2023	-	1,432	411,111	883,999	35,969	10,728	14,124	3,813	-	1,361,176
Net book value:										
At 31 December 2023	2,563	2,377	752,340	1,105,865	131,235	3,686	30,257	1,831	-	2,030,154
At 31 December 2022 (as restated)	2,563	2,608	771,570	1,114,592	37,400	3,874	29,156	1,304	221	1,963,288

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7 PROPERTY, PLANT AND EQUIPMENT (continued)

	<i>Land SR'000</i>	<i>Right of use asset SR'000</i>	<i>Buildings SR'000</i>	<i>Plant, quarry, machinery and other equipment SR'000</i>	<i>Vehicles SR'000</i>	<i>Furniture and fixtures, and office equipment SR'000</i>	<i>Assets Held for Future Use (Strategic) SR'000</i>	<i>Computers SR'000</i>	<i>Capital work in progress SR'000</i>	<i>Total SR'000</i>
Cost:										
1 January 2022 – as previously reported	2,563	7,302	1,163,391	1,922,999	43,014	13,686	-	4,793	221	3,157,969
Restatement / reclassification impact-(Note 32)	-	(3,493)	-	-	-	-	37,891	-	-	34,398
1 January 2022 – as restated	2,563	3,809	1,163,391	1,922,999	43,014	13,686	37,891	4,793	221	3,192,367
Additions	-	-	-	28,298	21,310	482	4,142	73	-	54,305
Disposal	-	-	-	(2,181)	(560)	-	-	(7)	-	(2,748)
31 December 2022- as restated	2,563	3,809	1,163,391	1,949,116	63,764	14,168	42,033	4,859	221	3,243,924
Accumulated depreciation:										
1 January 2022 – as previously reported	-	1,530	372,037	785,183	22,939	9,854	-	3,333	-	1,194,876
Restatement / reclassification impact- (Note 32)	-	(560)	-	-	-	-	11,678	-	-	11,118
1 January 2022 – as restated	-	970	372,037	785,183	22,939	9,854	11,678	3,333	-	1,205,994
Additions	-	231	19,784	49,397	3,665	440	1,199	223	-	74,939
Disposal	-	-	-	(56)	(240)	-	-	(1)	-	(297)
31 December 2022 – as restated	-	1,201	391,821	834,524	26,364	10,294	12,877	3,555	-	1,280,636
Net book value:										
At 31 December 2022 – as restated	2,563	2,608	771,570	1,114,592	37,400	3,874	29,156	1,304	221	1,963,288
At 1 January 2021 – as restated	2,563	2,839	791,354	1,137,816	20,075	3,832	26,213	1,460	221	1,986,373

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7 PROPERTY, PLANT AND EQUIPMENT (continued)

7.1 The allocation of depreciation expense between operating cost of revenue, selling and distribution expenses and general and administrative expenses is as follows:

	2023 SR'000	2022 SR'000 <i>Restated,</i> <i>note 32</i>
Cost of revenue (note 21)	79,447	73,839
Selling and distribution expenses (note 22)	419	347
General and administrative expenses (note 23)	817	753
Total	80,683	74,939

7.2 The plants are situated on land leased in Sulttana from Ministry of industry and Mineral Resources, for 30 Hijra years commenced on 11 Jumada II 1426H (corresponding to 17 July 2005). And land leased in Akfah from Najran Municipal for 25 Hijra years commenced on 21 Dhu al-Qi`dah 1428H (corresponding to 1 December 2007).

8 INTANGIBLE ASSETS

	<i>Total</i> <i>SR '000</i>
Cost:	
At 1 January 2022	8,815
Additions	19
Balance at 31 December 2022	8,834
Amortization:	
At 1 January 2022 - as previously reported	4,721
Impact of restatement (note 32)	4,094
At 1 January 2022- (as restated)	8,815
Amortization during the year	19
Balance at 31 December 2022 - (as restated)	8,834
Net Book Value:	
At 31 December 2022 - (as restated)	-
Cost:	
At 1 January 2023	8,834
Additions	491
Balance at 31 December 2023	9,325
Amortization:	
At 1 January 2023 (as restated)	8,834
Amortization during the period	491
Balance at 31 December 2023	9,325
Net Book Value:	
At 31 December 2023	-

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9 REHABILITATION PROVISION

The management of the Company conducted a study to estimate and calculate the costs of stabilizing the soil, rocky slopes and surfaces to be safe for humans and animals for the Company's quarry, based on the surroundings of the exploited areas in the quarry after the end of the mining period. A discount rate of 7.2 % was used by the management to reflect the time value of money of obligation expected to be settled at the end of the mining term.

The provision for the rehabilitation of areas subject to a franchise license represents the present value of the expected cost of re-settlement of the Company's franchise site.

	<i>Total SR '000 Restated, (note 32)</i>
31 December 2022	
At 1 January 2022- as previously reported	-
Impact of restatement (note 32)	1,047
Balance at 31 December 2022- restated	1,047
31 December 2023	
At 1 January 2023	1,047
At 31 December 2023	1,047

10 INVENTORIES

	<i>31 December 2023 SR'000</i>	<i>31 December 2022 SR'000</i>
Spare parts – Consumables not for sale	118,453	123,744
Work in process	263,390	166,292
Raw materials, fuel and packing materials	27,857	33,020
Finished goods	5,820	7,696
	415,520	330,752
Less: Provision for obsolete spare parts (note 10.1)	(7,323)	(7,323)
Total	408,197	323,429

10.1 Movement in the provision for obsolete inventories is as follows:

	<i>31 December 2023 SR'000</i>	<i>31 December 2022 SR'000</i>
At the beginning of the year	7,323	5,323
charge for the year	-	2,000
At the end of the year	7,323	7,323

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11 TRADE RECEIVABLES

11.1 Trade receivables

	31 December 2023 SR'000	31 December 2022 SR'000
Trade receivables	22,655	30,652
Less: provision for expected credit loss (note 11.2)	(1,579)	(1,979)
	<u>21,076</u>	<u>28,673</u>

Trade receivables are non-interest bearing and are generally payable on demand.

11.2 Movement in the provision for expected credit loss is as follows:

	31 December 2023 SR'000	31 December 2022 SR'000
Balance at the beginning	1,979	1,803
Charged during the year	-	176
Reversed during the year	(400)	-
Balance at the end of the year	<u>1,579</u>	<u>1,979</u>

Please refer to Note 30 for additional information about market and credit risk.

12 PREPAYMENTS AND OTHER RECEIVABLES

	31 December 2023 SR'000	31 December 2022 SR'000
Advances to suppliers	13,711	33,316
Prepaid expenses	9,778	9,052
Refundable custom duties – net	3,138	3,852
Other receivables	3,660	4,666
Total	<u>30,287</u>	<u>50,886</u>

13 CASH AND CASH EQUIVALENTS

	<i>Note</i>	31 December 2023 SR'000	31 December 2022 SR'000
Cash on hand		293	63
Current account at banks		15,722	19,251
Short term Murabaha deposit	13.1	-	20,000
Total		<u>16,015</u>	<u>39,314</u>

13.1 This represents deposits placed with banks for different periods and earn an average rate for return 5.05%.

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14 EMPLOYEES' DEFINED BENEFIT OBLIGATIONS

The Company operates an unfunded employees' terminal benefit plan for its employees as required by the Saudi Arabian Labour Law. The movement in provision for end-of-service benefits for the year ended 31 December is as follows:

		31 December 2023 SR'000	31 December 2022 SR'000
	<i>Note</i>		
Balance at beginning of the year		40,215	36,849
Current service cost		4,190	4,022
Interest cost		1,873	942
Amount recognised in profit or loss account		6,063	4,964
Re-measurement loss recognized in other comprehensive income	14.1	964	1,266
Benefits paid during the year		(1,975)	(2,864)
Balance at the end of the year		45,267	40,215

14.1 Re-measurements loss recognized in other comprehensive income for the year ended 31 December are as follow:

	31 December 2023 SR'000	31 December 2022 SR'000
Impact of changes in financial assumptions	244	711
Impact of changes in demographic assumptions	-	(524)
Impact of experience adjustments	720	1,079
Total	964	1,266

14.2 Significant actuarial assumptions:

Below are the significant actuarial assumptions:

Key actuarial assumptions	31 December 2023	31 December 2022
Discount rate used	4.65%	4.70%
increase in salary for the next two years	5.00%	4.70%
Increase in salary for long term	4.65%	4.70%
Turnover	Moderate	Moderate
Demographic assumptions		
Retirement age	60	60

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14 EMPLOYEES' DEFINED BENEFIT OBLIGATIONS (continued)

14.3 Sensitivity analysis:

Reasonably possible changes as to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation by the amounts shown below:

	31 December 2023 (SR'000)		31 December 2022 (SR'000)	
	Increase	Decrease	Increase	Decrease
Discount rate (0.5% movement)	43,775	46,743	38,922	41,592
Future salary growth (0.5% movement)	46,423	44,063	41,635	38,870

15 LEASES

	31 December 2023 SR'000	31 December 2022 SR'000 Restated, note 32
Current portion of lease obligations	255	255
Non-current portion of lease obligations	2,103	2,357
Balance at end of year	2,358	2,612

The lease is represented in land leased in Akfah from Najran Municipal for 25 Hijra years commenced on 21 Dhu al-Qi'dah 1428H (corresponding to 1 December 2007).

The lease liabilities are secured by the related underlying assets.

The analysis by maturity of future lease payments at 31 December are as follows:

	< 1 year SR'000	1-5 year SR'000	>5 years SR'000	Total SR'000
As at 31 December 2023				
Lease payments	332	1,694	665	2,691
Less: future Interest	(77)	(226)	(30)	(333)
Net present values	255	1,468	635	2,358
As at 31 December 2022 – as restated				
Lease payments	332	1,694	997	3,023
Less: Interest expense for future periods	(77)	(274)	(60)	(411)
Net present values	255	1,420	937	2,612

16 SHARE CAPITAL

The authorized share capital of the Company comprised 170 million ordinary shares stated at SR 10 per share. All shares are issued and fully paid. (31 December 2022: 170 million ordinary shares stated at SR 10 per share).

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17 LONG TERM BORROWING

Long-term borrowing are unsecured and carries interest rate of SAIBOR plus margin is presented as follows:

	31 December 2023 SR'000	31 December 2022 SR'000
Principal amount, beginning balance	278,500	278,500
Draw-down during the year	115,000	278,500
Less: repayments / redemptions during the year	(57,846)	(278,500)
Net principal amount	335,654	278,500
Accrued mark up for the year	2,825	1,597
	338,479	280,097
Current portion	(64,422)	(44,443)
Balance at the end of the year	274,057	235,654

17.1 Tawarruq

During the year 2022, the Parent Company signed new banking facilities agreement (Tawarruq) with a local Bank. In the same year the company utilized SR 278.5 million which are repayable in seven years over thirteen equal semi-annual instalments starting from May 2023, and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin. The amount is secured by a promissory note. During the year 2023, the Parent Company utilized SR 35 million as a short-term facilities, for the general purposes of the company. The new facilities are repayable in during the next 6 months and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin. Secured by a promissory note.

During the year 2023, the Group subsidiary signed new banking facilities agreement (Tawarruq) with a local bank and utilized SR 80 million long term facilities to finance its capital expenditures. The new facilities are repayable in six years over twelve equal semi-annual instalments starting from September 2024 and carries financing costs on the basis of the prevailing Saudi interbank rate (SAIBOR) plus a specified profit margin. The amount is secured by some of the subsidiary's vehicles and promissory note. The carrying values of the borrowings are denominated in Saudi riyals.

17.2 Loan covenants

The banking facilities agreements contain certain covenants. A future breach of covenants may lead to renegotiation. The covenants are monitored on a monthly basis by the management. In case of potential breach, actions are taken by the management to ensure compliance. During the year ended 31 December 2023, there has been no non-compliance of loan covenants.

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18 ZAKAT

(a) The principal elements of the zakat base are as follows:

	31 December 2023 SR'000	31 December 2022 SR'000
Non-current assets	2,127,745	1,940,600
Non-current liabilities	329,364	281,002
Opening equity	1,990,773	1,965,823
Adjusted profit	70,458	128,799

(b) The movement in zakat payable on the Group was as follows:

	31 December 2023 SR'000	31 December 2022 SR'000
Balance at beginning of the year	7,904	6,134
Provided during the year	6,721	6,620
Reversed during the year	(569)	-
Paid during the year	(6,026)	(4,850)
Balance at the end of the year	8,030	7,904

(c) Zakat status:

Zakat returns for all the years up to December 31, 2022 have been filed by the group. Zakat assessments have been finalized with Zakat, Tax and Customs Authority (ZATCA) for the years 2006 to 2011 and 2014 to 2020.

19 ACCRUED AND OTHER PAYABLES

	31 December 2023 SR'000	31 December 2022 SR'000
Raw material royalties payable	28,671	25,196
Accrued expenses	19,564	11,949
Other payables	7,759	8,561
	55,994	45,706

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20 REVENUE

20.1 Disaggregated revenue information

	2023 SR'000	2022 SR'000
Product type		
Cement	485,651	535,686
Total revenue	485,651	535,686
Customer type		
Corporate customers	485,651	535,686
Total revenue	485,651	535,686
Geographical markets		
Local	424,653	483,349
Export - Yemen	60,998	52,337
Total revenue	485,651	535,686

20.2 Performance obligations - point in time

The performance obligation is satisfied at a point in time and payment is generally due in advance or on demand.

20.3 there was no customers represent more than 10% of the company sales during the year.

21 COST OF REVENUE

	Note	2023 SR'000	2022 SR'000 Restated, (note 32)
Materials consumed		112,333	136,285
Depreciation	7.1	79,447	73,839
Salaries, wages and related benefits	21.1	96,355	84,364
Fuel and power		79,031	74,544
Repairs and maintenance		44,179	43,217
Operation and management expenses		22,961	25,923
Other manufacturing expenses		4,482	3,523
Provision for obsolescence inventory		-	2,000
		438,788	443,695
Opening work in progress and finished goods		176,048	97,272
Closing work in progress and finished goods		(271,616)	(176,048)
Cost of revenue		343,220	364,919

21.1 Salaries, wages and benefits include employees' defined benefit obligations amounting to SR 2.6 million (2022: SR 2.9 million).

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22 SELLING AND DISTRIBUTION EXPENSES

	<i>Note</i>	2023 SR'000	2022 SR'000
Salaries, wages and related benefits	22.1	6,582	5,559
Export attestation expenses		1,269	867
Depreciation	7.1	419	347
Travel expenses		298	538
Others		696	245
Impairment loss on trade receivables		-	176
		9,264	7,732

22.1 Salaries, wages and benefits include employees' defined benefit obligations amounting to SR 269 thousand (2022: SR 303 thousand).

23 GENERAL AND ADMINISTRATIVE EXPENSES

	<i>Note</i>	2023 SR'000	2022 SR'000 Restated, (note 32)
Salaries, wages and related benefits	23.1	24,082	22,777
Board of directors remunerations	28	4,414	4,420
Depreciation and amortization	7/8	1,308	772
Legal and professional services		1,289	1,404
Maintenance expenses		945	1,653
Regulatory fees		720	793
Donations		600	591
Others		2,078	3,189
		35,436	35,599

23.1 Salaries, wages and benefits include staff retirement benefits amounting to SR 1,020 thousand (2022: SR 934 thousand).

24 FINANCE COST

	2023 SR'000	2022 SR'000
Finance cost related to loans	22,879	10,235
Finance cost related to employees' benefits	1,873	942
Finance cost related to lease liability	168	182
	24,920	11,359

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25 OTHER INCOME, NET

	2023 SR'000	2022 SR'000
Saudization compensation	1,780	1,480
Murabaha income	652	473
Gain/(loss) on sale of property, plant, and equipment	98	(443)
Scrap sales	-	1,387
Others – net	245	455
	2,775	3,352

26 EARNINGS PER SHARE

The table below reflects the details of the net profit for the year and the number of shares used in calculating basic and diluted earnings per share:

	31 December 2023	31 December 2022 <i>Restated,</i> <i>(note 32)</i>
Profit for the year attributable to ordinary equity holders of the Parent Company (SR' 000)	69,434	112,809
Weighted average number of outstanding ordinary shares (000' shares)	170,000	170,000
Basic and diluted earnings per share attributable to shares holders of the Parent Company (Saudi Riyals)	0.41	0.66

27 CONTINGENCIES AND COMMITMENTS

The Group has commitment in relation to letters of credit and letters of guarantees issued in the normal course of the business by the amounts shown below:

	31 December 2023 SR'000	31 December 2022 SR'000
Letters of guarantees	9,650	-
Letters of credit	2,661	472
	12,311	472

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28 RELATED PARTY TRANSACTIONS AND BALANCES

Related parties represent major shareholders, Board of Directors, the Group's key management personnel and enterprises managed or significantly influenced by those parties. The following are the details of major-related parties' transactions during the year ended 31 December 2023:

	<i>Nature of Relationship</i>	<i>Transactions during the year</i>		<i>Advances from related parties</i>	
		<i>2023</i>	<i>2022</i>	<i>31 December 2023</i>	<i>31 December 2022</i>
		<i>SR'000</i>	<i>SR'000</i>	<i>SR'000</i>	<i>SR'000</i>
Yaal Alarabeya Company (Sales)	An entity controlled by one of the group board member	54	2,595	-	1
Total		54	2,595	-	1

Allowances and compensation of the Board of directors and senior executives

The Group's senior management includes key management personnel and executives, Board of Directors, having authorities and responsibilities for planning, directing and controlling the activities of the Group.

Board of Directors and committees' compensation charged during the year ended 31 December 2023 amounting to SR 4,414 thousand and (31 December 2022: SR 4,420 thousand).

Allowances and compensation of the Board of directors and senior executives (continued)

Key management personnel compensation comprised the following:

	<i>31 December 2023</i>	<i>31 December 2022</i>
	<i>SR'000</i>	<i>SR'000</i>
Short term employee benefits	11,281	10,399
Post-employment benefits	321	195
	11,602	10,594

29 DIVIDENDS

On 11 March 2023G, (corresponding to 19 Shaaban 1444H), the Board of Directors recommended the distribution of dividends in the amount of 42.5 million Saudi riyals (SR 0.25 per share) after obtaining the approval of the shareholders in the General Assembly. On April 11, 2023G (corresponding to 20 Ramadan 1444H), the shareholders in the General Assembly meeting approved the recommendation of the Board of Directors. The dividends were paid on 4 May 2023G (corresponding to 14 Shawwal 1444H).

The shareholders, in annual general assembly meeting held on 13 April 2022G (corresponding to 12 Ramadan 1443H), approved dividends of SR 42.5 million (SR 0.25 per share) that was paid on 24 April 2022G (corresponding to 23 Ramadan 1443H).

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30 FINANCIAL INSTRUMENTS RISK MANAGEMENT

The Group finances its operations through equity and management of working capital with a view to maintaining an appropriate mix between various sources of finance to minimize risk. Taken as a whole, the Group is exposed to market risk (including profit rate risk, currency risk and other price risk), credit risk and liquidity risk. The Group's principal financial liabilities comprise trade and other payables. The main purpose of these financial liabilities is to raise finance for the Group's operations. The Group has various financial assets such as investments, trade and other receivables. The Group has various financial liabilities such as long-term financing, trade and other accounts payable including accrued liabilities.

The principal financial instruments used by the Group, from which financial instrument risk arises, are as follows:

- a) Trade receivables
- b) Cash and cash equivalents
- c) Trade and other payables
- d) Long term financing

Financial instruments by category (amortized cost)

	31 December 2023 (SR'000)	31 December 2022 (SR'000)
Financial assets		
Trade receivables	21,076	28,673
Cash and cash equivalents	16,015	39,314
Total	37,091	67,987
	31 December 2023 (SR'000)	31 December 2022 (SR'000)
Financial liabilities		
Long and short-term financing	338,479	280,097
Trade payables	44,835	45,790
Dividend payable	1,454	1,323
Accrued and other payables	55,994	45,706
Total	440,762	372,916

The Group is exposed through its operations to the following financial risks:

- Market risk
- Credit risk; and
- Liquidity risk

Financial risk management and objectives and policies

Market risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market prices comprise three types of risk: Interest rate risk, currency risk and other price risk.

(a) Interest rate risk

Profit rate risk is the risk that the fair value of future cash flows of the financial instruments will fluctuate because of changes in market profit rates. The Group mitigates its risk against exposure through focusing on maintaining bank balances. As of the statement of financial position date the Group is exposed to profit rate risk on its borrowings.

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30 FINANCIAL INSTRUMENTS RISK MANAGEMENT (continued)

Financial risk management and objectives and policies (continued)

(a) Interest rate risk (continued)

During 2023 and 2022, the Group's borrowings at variable rate were denominated in SR. The Group analyses the interest rate exposure on a quarterly basis. A sensitivity analysis is performed by applying a simulation technique to the liabilities that represent major interest-bearing positions. Various scenarios are run taking into consideration refinancing, renewal of the existing positions, alternative financing and hedging.

	31 December 2023 (SR'000)	31 December 2022 (SR'000)
Variable rate instruments		
Loans	338,479	280,097

The table below reflects the possible change of 100 basis points in interest rates at the reporting date on profit or loss assuming all other variables are remained constant.

	Profit / (loss) 2023		Profit / (loss) 2022	
	Decrease in basis points of related commission rates 100 bps (SR'000)	Increase in basis points of related to commission rates 100 bps (SR'000)	Decrease in basis points of related commission rates 100 bps (SR'000)	Increase in basis points of related to commission rates 100 bps (SR'000)
Loans	3,385	(3,385)	2,800	(2,800)

(b) Currency risk

Currency risk arises from the possibility that changes in foreign exchange rates will affect the value of the financial assets and liabilities denominated in foreign currencies. The Group does not believe it is materially exposed to currency risk as the majority of the Group's transactions and the balances are denominated in Saudi Riyals or in US Dollars. US dollar rate is fixed with the Saudi Riyal. Certain transactions are in other currencies, but these are not material.

(c) Other price risk

Other price risk is the risk that the fair value of future cash flows of the financial instruments will fluctuate because of changes in market prices. The Group is not exposed to any other risks.

Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Company's credit risk is primarily attributable to its liquid funds and receivables. Cash balances are deposited with banks with good credit standings. Whilst a small number of customers account for a significant portion of both revenues and accounts receivable balances. These customers have provided appropriate guarantees ensuring that their debts will be recoverable. All major customers are high profile customers with the Kingdom of Saudi Arabia and there is no reason to suggest that there will be a loss of revenue from these sources.

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30 FINANCIAL INSTRUMENTS RISK MANAGEMENT (continued)

Financial risk management and objectives and policies (continued)

The Group's maximum credit exposure are as follows:

	31 December 2023 (SR'000)	31 December 2022 (SR'000)
Trade receivables	21,076	28,673
Prepayments and other receivables	30,287	50,886
Cash and cash equivalents	16,015	39,314
Total	67,378	118,873

In determining the recoverability of a trade receivable, the Group considers any change in the credit quality of the trade receivable from the date credit was initially granted up to the end of the reporting period.

Age of trade receivables aging as of 31 December is as follows:

	31 December 2023 (SR'000)	31 December 2022 (SR'000)
Not due yet	324	406
1-90 days	16,077	22,962
91-180 days	4,674	5,820
181-360 days	-	-
Over 360 days	1,580	1,464
Total	22,655	30,652

Trade receivable amounting to SR 21,194 thousand (2022: SR 28,425 thousand) are collateral with promissory notes and bank guarantees.

Age of impaired trade receivables as of 31 December is as follows:

	31 December 2023 (SR'000)	31 December 2022 (SR'000)
More than 360 days	1,580	1,464

Liquidity risk

Liquidity risk is the risk that an enterprise will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may result from an inability to sell financial assets quickly at an amount close to its fair value. Liquidity risk is managed by monitoring on a regular basis that sufficient funds are available. The concentrations of liquidity risk may arise from the repayment terms of financial liabilities, sources of borrowings or reliance on a particular market in which to realize liquid assets.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)
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30 FINANCIAL INSTRUMENTS RISK MANAGEMENT (continued)

The following is the contractual maturities for financial liabilities at the end of the period and represented by growth amounts:

	<i>Undiscounted contractual cash flows</i> <i>31 December 2023</i>			
	<i>1 year or less</i> <i>SR'000</i>	<i>1 year to 3 years</i> <i>SR'000</i>	<i>3 years or more</i> <i>SR'000</i>	<i>Total</i> <i>SR'000</i>
Non-derivative financial liabilities:				
Long term financing	81,089	128,022	166,997	376,108
Trade payables	44,835	-	-	44,835
Accrued and other payables	55,994	-	-	55,994
Lease liabilities	409	1,102	1,513	3,024
	<u>182,327</u>	<u>129,124</u>	<u>168,510</u>	<u>479,961</u>
	<i>Undiscounted contractual cash flows</i> <i>31 December 2022</i>			
	<i>1 year or less</i> <i>SR'000</i>	<i>1 year to 3 years</i> <i>SR'000</i>	<i>3 years or more</i> <i>SR'000</i>	<i>Total</i> <i>SR'000</i>
Non-derivative financial liabilities:				
Long term financing	54,062	102,883	161,576	318,521
Trade payables	45,790	-	-	45,790
Accrued and other payables	45,706	-	-	45,706
Lease liabilities	409	1,149	1,876	3,434
	<u>145,967</u>	<u>104,032</u>	<u>163,452</u>	<u>413,451</u>

Capital management

The Group's objective when managing capital is to safeguard the Group's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders. and to maintain a strong capital base to support the sustained development of its businesses.

The Group manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Group monitors capital using a gearing ratio, which is 'net debt' divided by total capital plus net debt. The Group includes within net debt, interest bearing loans and borrowings, trade and other payables, less cash and short-term deposits.

The Group net debt to equity ratio was as follows:

	<i>31 December 2023</i> <i>(SR'000)</i>	<i>31 December 2022</i> <i>(SR'000)</i>
Total liabilities	503,954	429,785
Less: Cash and cash equivalents	(16,015)	(39,314)
Net liabilities	<u>487,939</u>	<u>390,471</u>
Total equity	<u>2,001,775</u>	<u>1,975,805</u>
Net liabilities to equity	<u>0.24</u>	<u>0.20</u>

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

For The Year Ended 31 December 2023

31 FAIR VALUE MEASUREMENT

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All financial instruments for which fair value is recognised or disclosed are categorized within the fair value hierarchy, based on the lowest level input that is significant to the fair value measurement as a whole, as follows:

- Level 1: quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2: valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3: valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

If the inputs used to measure the fair value of an asset or liability falls into different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest input level that is significant to the entire measurement.

The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred. There were no transfers among the levels during the period.

The management assessed that the fair value of cash and cash equivalents, trade and other receivables and trade payables approximate their carrying amounts largely due to the short-term maturities of these instruments. term loans carrying amount approximate fair value as it carries variables interest at the prevailing market rates.

32 PRIOR YEARS RESTATEMENT

During the year 2023, the management became aware of several errors as explained below. The errors have been corrected by restating each of the affected line items in the consolidated financial statements for the prior years, in line with the requirements of International Accounting Standard 8 “Change in Accounting Policies, Change in Accounting Estimates and Accounting Errors” as follows:

- a) During the year ended 31 December 2023, the management became aware of error related to the amortization expenses of certain capitalised software license (recognised under intangible assets), which were not recorded in prior years. Previously, these assets were considered to have indefinite useful lives, while it was supposed to have a useful life of 10 years. The errors have been corrected by restating the affected line items in the consolidated financial statements for the prior years.
- b) During the year ended 31 December 2023, the management conducted a detailed review of the terms and conditions of its mining license and discovered that it was incorrectly accounted for as a right of use asset under IFRS 16 “leases” while such mining rights is excluded from the scope of IFRS 16. Furthermore, the Group didn’t account for the obligation to rehabilitate the quarry at the end of the mining license term. These two errors have been corrected by restating the affected line items in the consolidated financial statements for the prior years.

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32 PRIOR YEARS RESTATEMENT (continued)

- c) During the year ended 31 December 2023, the management appointed an external specialist to undertake a detailed review of the spare parts that had been recognized as inventories and discovered that there are certain items that meet the definition of property, plant and equipment were not accounted for in accordance with International Accounting Standard 16 'Property, plant and equipment'. The error has been corrected by restating the affected line items in the consolidated financial statements for the prior years.
- d) During the year ended 31 December 2023, the management conducted a detailed review for the trade and other payables accounts classifications and concurred to do certain reclassifications to conform with the presentation of the current year.

(1) Consolidated statement of profit or loss for the year ended 31 December 2022:

31 December 2022		Reported as at 31 December 2022 SR (000)	Reclassification SR (000)	Restatement SR (000)	Restated as at 31 December 2022 SR (000)
	Note				
Cost of revenue		(363,998)	-	(921)	(364,919)
General and administration expense		(35,580)	-	(19)	(35,599)
Net profit for the year		113,749	-	(940)	112,809
Earning per share		0.67		(0.01)	0.66

The change did not have an impact on OCI for the year.

(2) consolidated statement of financial position as at 31 December 2022:

31 December 2022		Reported as at 31 December 2022 SR (000)	Reclassification SR (000)	Restatement SR (000)	Restated as at 31 December 2022 SR (000)
	Note				
Non-current assets					
Property, plant and equipment	(b), (c)	1,936,487	42,033	(15,232)	1,963,288
Intangible assets	(a)	4,113	-	(4,113)	-
Current assets					
Inventories	(c)	207,008	116,421	-	323,429
Store, spare parts, and loose tools	(c)	158,548	(158,548)	-	-
Prepayments and other receivables	(d)	49,529	1,357	-	50,886
			<u>1,357</u>	<u>(19,345)</u>	
LIABILITIES					
Lease liabilities	(b)	5,597	-	(2,985)	2,612
Accrued and other payables	(d)	43,719	1,987	-	45,706
Trade Payable	(d)	46,420	(630)	-	45,790
Rehabilitation provision	(b)	-	-	1,047	1,047
			<u>1,357</u>	<u>(1,938)</u>	
EQUITY					
Retained earnings		136,535	-	(17,407)	119,128
			<u>-</u>	<u>(19,345)</u>	

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32 PRIOR YEARS RESTATEMENT (continued)

(3) Consolidated statement of financial position as at 1 January 2022:

1 January 2022		Reported as at 1 January 2022 SR (000)	Reclassification SR (000)	Restatement SR (000)	Restated as at 1 January 2022 SR (000)
	Note				
Non-current assets					
Property, plant and equipment	(b), (c)	1,963,093	37,891	(14,611)	1,986,373
Intangible assets	(a)	4,094	-	(4,094)	-
Current assets					
Inventories	(c)	119,327	112,107	-	231,434
Store, spare parts, and loose tools	(c)	149,998	(149,998)	-	-
			-	(18,705)	
LIABILITIES					
Lease liabilities	(b)	6,048	-	(3,191)	2,857
Rehabilitation provision	(b)		-	1,047	1,047
			-	(2,144)	
EQUITY					
Retained earnings		120,427	-	(16,561)	103,866
			-	(18,705)	

(4) Consolidated statement of Statement of changes in equity for the year ended 31 December 2022:

	Retained earnings SR '000
As at 1 January 2022- as previously reported	120,427
Prior years restatements	(16,561)
As at 1 January 2022 – as restated balance	103,866
Net profit for the year – as restated	112,809
Other comprehensive loss	(1,266)
Total comprehensive income for the year	111,543
Transferred to statutory reserve	(11,281)
Dividends	(85,000)
Balance as at 31 December 2022 – restated balance	119,128

(5) Consolidated statement of cash flows for the year ended 31 December 2022:

	2022 SR '000 Reported	Restatement	2022 SR '000 Restated Note 32
Net cash from operating activities	92,739	3,849	96,588
Net cash used in investing activities	(50,088)	(4,236)	(54,324)
Net cash used in financing activities	(85,427)	387	(85,040)
Net change in cash and cash equivalents	(42,776)	-	(42,776)
Cash and cash equivalents at the beginning of the year	82,090	-	82,090
Cash and cash equivalents at the end of the year	39,314	-	39,314

33 EVENTS AFTER THE REPORTING PERIOD

There have been no significant subsequent events since the year ended 31 December 2023, which would have a material impact on the financial position of the Group as reflected in these consolidated financial statements.

34 APPROVAL OF CONSOLIDATED FINANCIAL STATEMENTS

These consolidated financial statements were authorized for issue by the Group's Board of Directors on 23 Shawwal 1445H (corresponding to 2 May 2024G).